

HOUSE BILL NO. 20

INTRODUCED BY L. BREWSTER

BY REQUEST OF THE REVENUE INTERIM COMMITTEE

A BILL FOR AN ACT ENTITLED: "AN ACT REQUIRING VOTED LEVIES TO BE STATED IN DOLLARS RATHER THAN MILLS; ALLOWING VOTED LEVIES OTHER THAN SCHOOL DISTRICT LEVIES TO BE ~~SUBJECT TO THE CALCULATION PROVISIONS OF 15-10-420~~ ADJUSTED FOR INFLATION SUBJECT TO THE CALCULATION PROVISIONS OF 15-10-420; AMENDING SECTIONS 15-10-420 AND 15-10-425, MCA; AND REPEALING SECTION 7-6-4431, MCA."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 15-10-420, MCA, is amended to read:

"15-10-420. Procedure for calculating levy. (1) (a) Subject to the provisions of 15-10-425(2)(b) and this section, a governmental entity that is authorized to impose mills may impose a mill levy sufficient to generate the amount of property taxes actually assessed in the prior year plus one-half of the average rate of inflation for the prior 3 years. The maximum number of mills that a governmental entity may impose is established by calculating the number of mills required to generate the amount of property tax actually assessed in the governmental unit in the prior year based on the current year taxable value, less the current year's newly taxable value, plus one-half of the average rate of inflation for the prior 3 years.

(b) A governmental entity that does not impose the maximum number of mills authorized under subsection (1)(a) may carry forward the authority to impose the number of mills equal to the difference between the actual number of mills imposed and the maximum number of mills authorized to be imposed. The mill authority carried forward may be imposed in a subsequent tax year.

(c) For the purposes of subsection (1)(a), the department shall calculate one-half of the average rate of inflation for the prior 3 years by using the consumer price index, U.S. city average, all urban consumers, using the 1982-84 base of 100, as published by the bureau of labor statistics of the United States department of labor.

(2) A governmental entity may apply the levy calculated pursuant to subsection (1)(a) plus any additional levies authorized by the voters, as provided in 15-10-425, to all property in the governmental unit, including newly taxable property.

(3) (a) For the purposes of this section, newly taxable property includes:

(i) annexation of real property and improvements into a taxing unit;

(ii) construction, expansion, or remodeling of improvements;

(iii) transfer of property into a taxing unit;

(iv) subdivision of real property; and

(v) transfer of property from tax-exempt to taxable status.

(b) Newly taxable property does not include an increase in value that arises because of an increase in the incremental value within a tax increment financing district.

(4) (a) For the purposes of subsection (1), the taxable value of newly taxable property includes the release of taxable value from the incremental taxable value of a tax increment financing district because of:

(i) a change in the boundary of a tax increment financing district;

(ii) an increase in the base value of the tax increment financing district pursuant to 7-15-4287; or

(iii) the termination of a tax increment financing district.

(b) If a tax increment financing district terminates prior to the certification of taxable values as required in 15-10-202, the increment value is reported as newly taxable property in the year in which the tax increment financing district terminates. If a tax increment financing district terminates after the certification of taxable values as required in 15-10-202, the increment value is reported as newly taxable property in the following tax year.

(c) For the ~~purpose~~purposes of subsection (3)(a)(ii), the value of newly taxable class four property that was constructed, expanded, or remodeled property since the completion of the last reappraisal cycle is the current year market value of that property less the previous year market value of that property.

(d) For the ~~purpose~~purposes of subsection (3)(a)(iv), the subdivision of real property includes the first sale of real property that results in the property being taxable as class four property under 15-6-134 or as nonqualified agricultural land as described in 15-6-133(1)(c).

(5) Subject to subsection (8), subsection (1)(a) does not apply to:

- 1 (a) school district levies established in Title 20, ~~except as provided in 15-10-425(2)(b)~~; or
- 2 (b) a mill levy imposed for a newly created regional resource authority.
- 3 (6) For the purposes of subsection (1)(a), taxes imposed do not include net or gross proceeds
- 4 taxes received under 15-6-131 and 15-6-132.
- 5 (7) In determining the maximum number of mills in subsection (1)(a), the governmental entity:
- 6 (a) may increase the number of mills to account for a decrease in reimbursements; and
- 7 (b) may not increase the number of mills to account for a loss of tax base because of legislative
- 8 action that is reimbursed under the provisions of 15-1-121(7).
- 9 (8) The department shall calculate, on a statewide basis, the number of mills to be imposed for the
- 10 purposes of 15-10-109, 20-9-331, 20-9-333, 20-9-360, and 20-25-439. However, the number of mills calculated
- 11 by the department may not exceed the mill levy limits established in those sections. The mill calculation must
- 12 be established in tenths of mills. If the mill levy calculation does not result in an even tenth of a mill, then the
- 13 calculation must be rounded up to the nearest tenth of a mill.
- 14 (9) (a) The provisions of subsection (1) do not prevent or restrict:
- 15 (i) a judgment levy under 2-9-316, 7-6-4015, or 7-7-2202;
- 16 (ii) a levy to repay taxes paid under protest as provided in 15-1-402;
- 17 (iii) an emergency levy authorized under 10-3-405, 20-9-168, or 20-15-326;
- 18 (iv) a levy for the support of a study commission under 7-3-184;
- 19 (v) a levy for the support of a newly established regional resource authority;
- 20 (vi) the portion that is the amount in excess of the base contribution of a governmental entity's
- 21 property tax levy for contributions for group benefits excluded under 2-9-212 or 2-18-703;
- 22 (vii) a levy for reimbursing a county for costs incurred in transferring property records to an
- 23 adjoining county under 7-2-2807 upon relocation of a county boundary;
- 24 (viii) a levy used to fund the sheriffs' retirement system under 19-7-404(3)(b); or
- 25 (ix) a governmental entity from levying mills for the support of an airport authority in existence prior
- 26 to May 7, 2019, regardless of the amount of the levy imposed for the support of the airport authority in the past.
- 27 The levy under this subsection (9)(a)(ix) is limited to the amount in the resolution creating the authority.
- 28 (b) A levy authorized under subsection (9)(a) may not be included in the amount of property taxes

1 actually assessed in a subsequent year.

2 (10) A governmental entity may levy mills for the support of airports as authorized in 67-10-402, 67-
3 11-301, or 67-11-302 even though the governmental entity has not imposed a levy for the airport or the airport
4 authority in either of the previous 2 years and the airport or airport authority has not been appropriated
5 operating funds by a county or municipality during that time.

6 (11) The department may adopt rules to implement this section. The rules may include a method for
7 calculating the percentage of change in valuation for the purposes of determining the elimination of property,
8 new improvements, or newly taxable value in a governmental unit."

9

10 **Section 2.** Section 15-10-425, MCA, is amended to read:

11 **"15-10-425. Mill levy election.** (1) A county, consolidated government, incorporated city,
12 incorporated town, school district, or other taxing entity may impose a new mill levy, increase a mill levy that is
13 required to be submitted to the electors, or exceed the mill levy limit provided for in 15-10-420 by conducting an
14 election as provided in this section.

15 (2) An election pursuant to this section must be held in accordance with Title 13, chapter 1, part 4
16 or 5, or Title 20 for school elections, whichever is appropriate to the taxing entity. The governing body shall
17 pass a resolution, shall amend its self-governing charter, or must receive a petition indicating an intent to
18 impose a new levy, increase a mill levy, or exceed the current statutory mill levy provided for in 15-10-420 on
19 the approval of a majority of the qualified electors voting in the election.

20 (a) The resolution, charter amendment, or petition must include:

21 (a)(i) the specific purpose for which the additional money will be used;

22 (b) ~~either:~~

23 (i)(ii) the specific amount of money to be raised and the approximate number of mills to be imposed;

24 ~~or and~~

25 (ii) ~~the specific number of mills to be imposed and the approximate amount of money to be raised;~~

26 ~~and~~

27 (e)(iii) whether the levy is permanent or the durational limit on the levy.

28 (b) ~~The EXCEPT FOR A SCHOOL DISTRICT LEVY ESTABLISHED IN TITLE 20, THE resolution, charter~~

1 ~~amendment, or petition may provide that the mill levy is subject to the provisions of 15-10-420(1)(a) EXCEPT~~
2 ~~THAT THE AMOUNT OF THE LEVY MAY BE INCREASED ANNUALLY BY THREE-QUARTERS OF THE AVERAGE RATE OF~~
3 ~~INFLATION FOR THE PRIOR 3 YEARS. THE DEPARTMENT SHALL CALCULATE AND MAKE AVAILABLE TO TAXING~~
4 ~~JURISDICTIONS THREE-QUARTERS OF THE AVERAGE RATE OF INFLATION FOR THE PRIOR 3 YEARS BY USING THE~~
5 ~~CONSUMER PRICE INDEX, U.S. CITY AVERAGE, ALL URBAN CONSUMERS, USING THE 1982-84 BASE OF 100, AS~~
6 ~~PUBLISHED BY THE BUREAU OF LABOR STATISTICS OF THE UNITED STATES DEPARTMENT OF LABOR.~~

7 (3) Notice of the election must be prepared by the governing body and given as provided in 13-1-
8 108. The form of the ballot must reflect the content of the resolution or charter amendment and must include:

9 (a) the statement that "an increase in property taxes may lead to an increase in rental costs"; and

10 (b) a statement of the impact of the election on homes valued at \$100,000, \$300,000, and
11 \$600,000 in the district in terms of actual dollars in additional property taxes that would be imposed on
12 residences with those values if the mill levy were to pass. The ballot may also include a statement of the impact
13 of the election on homes of any other value in the district, if appropriate.

14 (4) If the majority of voters voting on the question are in favor of the additional levy, the governing
15 body is authorized to impose the levy in either the amount or the number of mills specified in the resolution or
16 charter amendment.

17 (5) A governing body, as defined in 7-6-4002, may reduce an approved levy in any fiscal year
18 without losing the authority to impose in a subsequent fiscal year up to the maximum amount or number of mills
19 approved in the election. However, nothing in this subsection authorizes a governing body to impose more than
20 the approved levy in any fiscal year or to extend the duration of the approved levy."

21
22 NEW SECTION. **Section 3. Repealer.** The following section of the Montana Code Annotated is
23 repealed:

24 7-6-4431. Authorization to exceed or impose less than maximum mill levy -- election required to exceed.

25 - END -